Logic in the Numbers

Strategic Management Consulting

Supply Chain Restructure and Middleman Removal

Case Study

The Problem

An industry operating on thin margins was carrying an unnecessary cost. Multiple profit centres sat between suppliers and a central buyer, each extracting margin from a system that could not afford it. The logistics layer, provided by various third-party operators, was itself at risk of losses. Everyone in the chain was under pressure. Nobody was winning.

The Complexity

The supply chain involved structural issues that had developed over time:

Variable	Impact
Multiple suppliers, multiple logistics providers	Fragmented and inconsistent service delivery
Different pricing across providers	No cost visibility or standardisation
Different operating rules per provider	Inconsistent service standards and reliability
Providers operating at risk of loss	System instability and supply risk
Thin margins throughout the chain	No capacity to absorb inefficiency or cost increases
No single point of coordination	Reactive management, no strategic oversight

The Approach

The full economics of the existing supply chain was modelled and an investment case for restructure was developed.

Current state mapped. The full cost of the fragmented logistics model was quantified across all suppliers and providers, including hidden costs of inconsistency and supply risk.

Restructure modelled. A capital investment framework assessed the economics of the central buyer becoming the logistics provider, removing third-party profit centres and delivering logistics at cost to all suppliers.

Investment case built. A $30M+ capital analysis modelled asset ownership, operational costs, scheduling requirements, and the margin improvement available to both the buyer and suppliers under the new model.

Operational framework designed. Asset scheduling, utilisation targets, and operating rules developed to ensure the new model delivered on its economic promise.

The Impact

Metric	Before	After
Logistics profit centres	Multiple, extracting margin	One, operating at cost
Cost visibility	Fragmented, inconsistent	Centralised, transparent
Supply reliability	Variable, provider-dependent	Controlled, coordinated
Margin available to chain	Reduced by third-party extraction	Improved for buyer and suppliers
Capital deployment	Unmodelled	$30M+ investment case built with asset turnover planned

Removing the middleman did not just reduce cost. It gave the central buyer control over supply reliability, service standards, and long-term chain economics. For the suppliers it was long-term confidence in supply contracts and the assets to deliver. The complexity of the existing model had obscured how much value was being lost. The numbers made it visible.

What This Demonstrates

This engagement combined capital investment analysis, supply chain economics, and operational framework design. The problem was not financial in isolation, it was structural.

Logic in the Numbers works across financial diagnostics, decision support, and bespoke analytical frameworks. The common thread is finding what the complexity is hiding and building the case for what to do about it.